



SINKING FUND FOR LOAN AMORTIZATION

POLICY 4-11

INTRODUCTION:

The cooperative has borrowed from the NEA for the construction/rehabilitation of the distribution system in its coverage area.

To ensure prompt payment of amortization of these loans, the Board adopts the following policies:

POLICIES:

1. A sinking fund for the payment of loan amortization shall be set up; and
2. The sinking fund shall be placed in time deposits, such that deposits shall mature on or about the due date of amortization.

IMPLEMENTATION:

The General Manager shall be responsible in the implementation of this policy.

(SGD) ABUNDIO M. AWAL
President

(SGD) MAHONG S. MUSCARA
Secretary

APPROVED per Resolution No. 78-79 dated November 11, 1978.